

“Air travel is a necessity now. Look at the new generation. Everybody values their time more than anything else and there is a change in consumer sentiment. So, even an interstate or intrastate airline can work if cost is optimised and it is planned and run well,” Ghodawat tells *BT*.

Star Air has identified about 50 cities in India and more than 200 city pairs with a potential to fill 75-150 seats per flight in the next five years. It currently flies Embraer 145 (50 seaters) and E175 (88 seaters) to 31 destinations and plans to add another 40-45 aircraft (both jets and helicopters), including advanced E2 jets, by 2030-31 from the present 11 fixed-wing planes and four helicopters.

It has also applied for a national licence in order to operate jets with higher capacity. Star Air has also started operations from the recently opened Navi Mumbai International Airport.

“When we started Kolhapur-Bombay, we used to fly on a 50-seater aircraft. Today we have a 76-seater aircraft at a 95% load factor. Now, it has the potential to take an 88-seater or an 114-seater aircraft also. If we price it well, we will be able to fill these numbers of seats,” he says.

About 60% of its routes are monopolies and 40% have one, or maybe two, competitors.

Fly91 founder Chacko says non-metros offer lucrative financial opportunities for regional aviation players. It currently flies four ATRs and plans to take the number to 30 by 2030.

“Almost 20% of 140 functional airports in the country cannot accommodate the narrow-body aircraft (flown by national carriers), either due to technical reasons or lower load factors from

WHAT UDAN OFFERS

- 1 **Bolstering last-mile connectivity**
- 2 **Financial support to airlines to ensure affordable fares**
- 3 **Airfare cap for affordability**
- 4 **Airport operators waive landing and parking charges for UDAN flights**
- 5 **States have committed to reducing VAT on ATF to 1% or less for 10 years**

those markets. That is where the regional space starts coming in,” Chacko, who earlier worked with Kingfisher Airlines and Emirates, tells *BT*.

Chacko says any city pair that is more than seven hours by road is a classic opportunity for regional aviation. The airline’s ATR service from Jalgaon airport in Maharashtra has expanded to 21 weekly flights.

“It has high load factors and good yields. If you walk onto one of those aircraft, you’ll be surprised; you will find better-dressed people than people from Mumbai and Delhi. You will possibly see more Louis Vuitton and Gucci bags on that flight. You will see more gold on that flight, and when they come to places like Goa, they’re being picked up by the Taj Exoticas and the ITCs. These are cities where there is real wealth. There’s a niche spot. We got to go after the niche,” he says.

PROFITABILITY

The big question is: Will these airlines be able to scale up? Star Air started its operations in 2019 and aims to become a full-scale national airline focusing on regional connectivity. It acknowledges competition will increase, even in smaller markets, with bigger airlines such as IndiGo, Air India and Akasa also keeping Tier II/III cities on their radar.

“Our strategy is to keep identifying new city pairs and new avenues with 200 new airports coming up over the next 15 years,” he says.

Keeping the cost of ownership low and fixed cost discipline are the key to survival for this regional player. The company made its first profit of ₹68 crore in FY25. Its net worth jumped over 4X to over ₹91 crore during the year. It expects 40-50% growth in revenue and Earnings Before Interest Tax, Depreciation And Amortisation (EBITDA), a measure of operating profitability, this financial year.

Star Air recently raised ₹150 crore in a Series B round. “The most important thing for us to remember is that we are in the business of transportation from point A to point B and we should not look